

Principles of Auditing — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level III

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. What is an audit, and why is it needed? — *included in this preview*
 2. Types of audit — full version only
 3. The auditor's independence and objectivity — full version only
 4. Audit evidence — full version only
 5. Internal control systems — full version only
 6. Tests of control versus substantive testing — full version only
 7. Audit sampling, basics — full version only
 8. The auditor's report — full version only
 9. Full worked question — evaluating an internal control weakness — full version only
 10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*
 11. Marking guide — model answers to the practice examination — full version only
 12. Exam technique and revision checklist — full version only
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1. What is an audit, and why is it needed?

An **audit** is an independent examination of an organisation's financial statements (and the underlying records supporting them), carried out to enable the auditor to express an opinion on whether the financial statements give a true and fair view, prepared in accordance with an applicable financial reporting framework. Auditing is needed because of the **separation of ownership and management** in many organisations — owners/shareholders who don't manage the business day to day need independent assurance that the financial statements management has prepared can be relied upon.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

ATD LEVEL III — PRINCIPLES OF AUDITING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define an "audit" and explain why the separation of ownership and management creates a need for auditing. (8 marks)
- (b) Distinguish between an external audit and an internal audit. (8 marks)
- (c) Distinguish between a statutory audit and a voluntary audit. (4 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes auditor independence, audit evidence, internal control systems, tests of control versus substantive testing, audit sampling, the auditor's report, a fully worked internal-control-weakness question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.